

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads
to the Interstate Transmission System

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Docket No. RM26-4-000

**REPLY COMMENTS OF
TALEN ENERGY CORPORATION
ON INTERCONNECTION OF LARGE LOADS TO THE INTERSTATE
TRANSMISSION SYSTEM**

Talen Energy Corporation (“Talen”) files these reply comments to encourage the Federal Energy Regulatory Commission (“Commission” or “FERC”) to proceed with caution in any action taken following the proposed Advance Notice of Proposed Rulemaking (“ANOPR”) in order to preserve the federal/state jurisdictional balance established under the Federal Power Act (“FPA”) and decades of precedent. FERC should also ensure that any action it takes does not result in undue discrimination against existing generation resources that are critical for reliability. Likewise, the Commission should soundly reject proposals—such as those advanced by the Independent Market Monitor of PJM Interconnection, L.L.C. (“IMM”)—that would grant PJM Interconnection, L.L.C. (“PJM”) “discretion”¹ to discriminate in favor of “bring your own generation” (“BYOG”) arrangements or selectively restrict load interconnection. These ill-advised measures conflict with open-access principles, risk fragmenting competitive markets, and undermine the reliability of the transmission system as a whole. Ultimately, the only sustainable path to reliably serve all load is to encourage the development of new generation through

¹ Talen rejects the notion that the IMM is asking the Commission to give PJM the “discretion” to favor BYOG proposals and transactions. Substantively, the IMM seeks to have FERC order PJM to implement a BYOG policy.

transparent, market-based mechanisms that provide clear investment signals and maintain regulatory certainty.

I. COMMENTS

A. **The Act of Interconnecting a Large Load with the Transmission System is Inherently Tied To Retail Jurisdiction and FERC Should Not Encroach Upon States' Jurisdiction.**

As Talen explained in its initial comments,² the act of interconnecting a large load with the transmission system encompasses more than transmission service alone. For end-use customers receiving retail service, the delivery of energy—particularly for large loads—is inseparable from retail distribution, which falls squarely within state jurisdiction. FPA Section 201(b) reserves to the states exclusive authority over “facilities used for the generation of electric energy” and “facilities used in local distribution” as well as retail sales.³ The Commission’s jurisdiction is expressly limited to “the transmission of electric energy in interstate commerce and the sale of electric energy at wholesale in interstate commerce.”⁴ As the Supreme Court recognized in *New York v. FERC*⁵ and reaffirmed in *FERC v. Electric Power Supply Association*,⁶ FERC’s authority does not extend to retail sales or local distribution.

Even if large loads were to connect “directly to transmission facilities,” as the ANOPR contemplates,⁷ the ANOPR fails to define the term “directly” and it remains unclear how a large

² *Interconnection of Large Loads to the Interstate Transmission System*, Docket No. RM26-4-000, Motion to Intervene and Comment of Talen Energy Corporation on the Interconnection of Large Loads to the Interstate Transmission System at 5 (Nov. 21, 2025).

³ 16 U.S.C. § 824(b).

⁴ *Id.*

⁵ 535 U.S. 1 (2002).

⁶ 577 U.S. 260 (2016),

⁷ ANOPR at P 18.

load or hybrid facility could directly connect to the transmission system without also connecting with facilities that qualify as distribution facilities under the Commission's seven-factor test.⁸

Practically, attempting to resolve the threshold jurisdictional question posed in the ANOPR—namely, whether FERC should assert jurisdiction over large load interconnections—would undoubtedly trigger lengthy litigation between the Commission and the states. Such disputes would undermine the cooperative federalism framework of the FPA, delay regulatory certainty under Sections 205 and 206, and hinder timely development of new generation resources needed to meet reliability challenges. There is no need to trigger new jurisdictional battles that would only serve to impede progress and create uncertainty for market participants when FERC can issue orders in any of the pending proceedings that already have fully developed records on a much faster timeline.

B. FERC Should Ensure There is No Undue Discrimination Against Existing Generation

The Commission should ensure no existing generation resources face undue discrimination in any action taken. Proposals that require new large load customers to bring their own new generation are discriminatory. Similarly, enhanced reliability studies that apply disproportionate requirements to large loads contracting with existing generation as opposed to new generation are unlawful and will result in undue discrimination against existing generation.⁹ Instead, the Commission should allow existing generation resources to compete on equal footing with new generation resources to serve large load customers.

⁸ See *Interconnection of Large Loads to the Interstate Transmission System*, Docket No. RM26-4-000, Comments of the Pennsylvania Office of the Consumer Advocate and Delaware Division of the Public Advocate at 5-7 (Nov. 21, 2025).

⁹ See ANOPR at P 27; *Interconnection of Large Loads to the Interstate Transmission System*, Docket No. RM26-4-000, Supporting Comments of Constellation Energy Generation, LLC at 3 (Nov. 21, 2025).

Talen shares Constellation Energy Generation, LLC's perspective that policies favoring new generation at the expense of existing resources risks accelerating retirement of highly reliable, dispatchable, and baseload units.¹⁰ We have already seen thousands upon thousands of MWs prematurely retire due to failed resources adequacy decisions and policies. These detrimental policies are partly responsible for the future resource adequacy concerns the Commission faces. The Commission should not repeat and perpetuate such failed policies. Rather it should recognize that maintaining resource adequacy is not simply about adding new capacity; it requires a balanced approach that preserves existing assets while integrating new resources to meet fast-growing demand. This will not happen if the Commission creates policies that favor only new resources that distort market signals and undermine reliability. To ensure all load is served, new and existing resources must be allowed to compete on a level playing field, without structural preferences.¹¹

C. FERC Should Reject the IMM's Proposal for PJM to Prioritize Large Load Interconnections that Bring New Generation

The IMM argues that PJM must have explicit authority to interconnect large new data center loads only when they can be served reliably, defined by both transmission capability and resource adequacy.¹² The IMM asserts that current PJM practices—allowing interconnection without sufficient capacity—are unjust and unreasonable because they compromise reliability and impose significant costs on other customers.¹³

¹⁰ *Interconnection of Large Loads to the Interstate Transmission System*, Docket No. RM26-4-000, Supporting Comments of Constellation Energy Generation, LLC at 3 (Nov. 21, 2025).

¹¹ *See Id.*

¹² *Interconnection of Large Loads to the Interstate Transmission System*, Docket No. RM26-4-000, Complaint of the Independent Market Monitor for PJM at 3 (Nov. 25, 2025).

¹³ *Id.* at 2-4.

To address these issues, the IMM proposes requiring new large load customers to bring their own new generation as a purported market-based solution to avoid reliability problems and cost shifts. The IMM contends that this “bring your own generation” or “BYOG” requirement would eliminate uncertainty in load forecasting, prevent blackouts, and reduce reliance on emergency measures such as Reliability Must-Run agreements or FPA Section 202(c) orders.¹⁴ The IMM suggests that this requirement is not unduly discriminatory because it aligns costs with the impacts of large loads on the system.¹⁵

The IMM’s suggested approach should be rejected. It is unlawful and deficient from a policy perspective. Conditioning customer interconnections on BYOG or instructing PJM to deny service conflicts with bedrock open-access principles FERC established in Order No. 888 and Order No. 2000,¹⁶ which mandate non-discriminatory transmission service under a Commission-approved tariff. Such policies would create structural preferences, undermine competitive markets, and introduce regulatory uncertainty, which would in turn deter investment and fragment resource planning. Reliability and market efficiency are best achieved through coordinated regional planning and market-based mechanisms that provide clear price signals—not through ad hoc and discriminatory interconnection restrictions.

¹⁴ *Id.* at Attachment B—IMM Critical Issue Fast Path Executive Summary.

¹⁵ *Id.*

¹⁶ See *Regional Transmission Organizations*, Order No. 2000, 65 Fed. Reg. 809 (January 6, 2000), *order on reh’g*, Order No. 2000-A, 90 FERC ¶ 61,201 (2000), *aff’d sub nom.* Pub. Util. Dist. No. 1 of Snohomish County, Washington v. FERC, 272 F.3d 607 (D.C. Cir. 2001); *Promoting Wholesale Competition Through Open Access Non-discriminatory Transmission Services by Public Utilities and Recovery of Stranded Costs by Public Utilities and Transmitting Utilities*, Order No. 888, FERC Stats. & Regs. P 31,036 (1996), *order on reh’g*, Order No. 888-A, FERC Stats. & Regs. P 31,048 (1997), *order on reh’g*, Order No. 888-B, 81 FERC ¶ 61,248 (1997), *order on reh’g*, Order No. 888-C, 82 FERC ¶ 61,046 (1998).

The IMM’s proposal that PJM should determine which loads may interconnect based on an internal resource adequacy (and not transmission capability) assessment¹⁷ is inconsistent with FERC precedent and fundamental principles of open access and non-discrimination. Order Nos. 888 and 2000 require Regional Transmission Organizations (“RTOs”) to provide transmission service under a Commission-approved tariff on a non-discriminatory basis to all eligible customers.¹⁸ Instructing PJM to pick winners and losers among loads would undermine the Commission’s open-access framework and invite litigation over undue discrimination, delaying urgently needed reliability solutions.

FERC has consistently held that open access is essential to competitive markets and reliability. Selectively restricting interconnection rights or conditioning them on self-supply undermines these principles and introduces structural preferences that will distort market outcomes. Such an approach would effectively create a two-tiered load system—one for loads that can finance generation and another for those that cannot—which is contrary to the Commission’s long-standing policy of ensuring equal access to transmission service.

From a reliability perspective, prioritizing BYOG arrangements does not guarantee system stability and could harm resource adequacy. Prioritizing BYOG arrangements will also create two tiers of generation— new and existing. Prioritizing new generation will once again expedite the premature retirement of existing generation and exacerbate existing resource adequacy issues.

¹⁷ *Interconnection of Large Loads to the Interstate Transmission System*, Docket No. RM26-4-000, Complaint of the Independent Market Monitor for PJM at 3 (Nov. 25, 2025).

¹⁸ *See Regional Transmission Organizations*, Order No. 2000, 65 Fed. Reg. 809 (January 6, 2000), *order on reh’g*, Order No. 2000-A, 90 FERC ¶ 61,201 (2000), *aff’d sub nom.* Pub. Util. Dist. No. 1 of Snohomish County, Washington v. FERC, 272 F.3d 607 (D.C. Cir. 2001); *Promoting Wholesale Competition Through Open Access Non-discriminatory Transmission Services by Public Utilities and Recovery of Stranded Costs by Public Utilities and Transmitting Utilities*, Order No. 888, FERC Stats. & Regs. P 31,036 (1996), *order on reh’g*, Order No. 888-A, FERC Stats. & Regs. P 31,048 (1997), *order on reh’g*, Order No. 888-B, 81 FERC ¶ 61,248 (1997), *order on reh’g*, Order No. 888-C, 82 FERC ¶ 61,046 (1998).

Conditioning interconnection on BYOG would also fragment planning processes, discourage participation in centralized capacity markets, and potentially lead to inefficient siting of generation resources. In turn, these unsupported policy choices would increase costs and operational risks. Reliability depends on coordinated regional planning and market-based investment signals, not discriminatory requirements imposed on certain classes of individual customers.

In short, FERC should reject any proposal that allows PJM (or any other RTO/ISO) to deny interconnection or prioritize BYOG arrangements. Instead, the Commission should reaffirm its commitment to non-discriminatory open access, resource adequacy through market-based mechanisms, and coordinated regional planning—principles that have underpinned reliable service and competitive markets for decades.

D. The Only Way To Reliably Serve All Load is to Encourage the Development of New Generation and Retention of Existing Generation Through Market-Based Mechanisms

The way to ensure all loads are reliably served is by ensuring there are sufficient generation resources to meet the forecasted exponential growth in demand. The fundamental underlying issue of resource adequacy will not be solved solely through a rulemaking process addressing large load interconnection. Supporting market-based mechanisms designed to ensure sufficient generation resources are available to serve load demand is more pressing (and within the Commission's jurisdiction) than the issues raised by the ANOPR.

To facilitate continued resource adequacy, including both building new generation in a timely manner and retaining existing resources, the Commission must ensure that price signals accurately reflect scarcity and reliability needs. Only when markets send clear signals can developers make informed investment backed decisions.

The Commission should focus on strengthening market-based mechanisms in order to address the foundational issue of resource adequacy and how to encourage new generation to be

built as quickly as possible while retaining existing generation. PJM’s Open Access Transmission Tariff (“OATT”) already contains an efficient, market-based solution—the Reliability Backstop Auction (“RBA”)—that, with modifications, can address issues of resource adequacy by sending accurate price signals to generation developers. As Talen explained previously, the RBA process is a market-based mechanism designed to guarantee sufficient generation will be available to ensure system reliability when there is a lack of sufficient capacity committed through the Reliability Pricing Model (“RPM”) auctions.¹⁹ When the backstop mechanism is triggered, PJM is required to make a filing with FERC for approval to conduct the RBA in order to secure additional generation capacity (or base load resources) on a cost-of-service basis for a term of up to 15 years.²⁰ During the offer window, sellers submit cost-of-service based offers specifying price, capacity, location, technical details, requested term of up to fifteen years, and the first full Delivery Year for which the resource will be available.²¹ Multi-year offers clear the auction in order of the lowest total cost offer and receive a multi-year commitment for the term that they offered.²²

Talen suggests modifying the RBA so that the auction is triggered when the RPM auctions clear below 98% of the reserve margin requirement two base residual auctions in a row, rather than the current trigger of the base residual auctions clearing below 99% of the reserve margin three auctions in a row. Changing the trigger window to two auctions, rather than three auctions, is necessary under the current circumstances with significant future load growth expectations. The RBA’s guarantee of a multi-year term will stimulate generation development, enabling developers

¹⁹ PJM OATT—Attachment DD § 16.

²⁰ *Id.* at §§ 16.3, 16.4.

²¹ *Id.* at § 16.4.

²² *Id.* at § 16.4(d)(1).

to respond quickly to meet the communicated resource adequacy needs. Furthermore, the Commission should direct PJM to develop a Reliability Resource Initiative-like interconnection process which will expedite the interconnection of all resources selected under the RBA mechanism. Expediting interconnection of resources selected under the RBA mechanism will guarantee that projects developed expressly to meet resource adequacy needs are able to bring the additional energy resources onto the network and relieve reliability concerns as quickly as possible. For the reasons discussed above and in Talen's initial comments, the Commission should order all RTOs/ISOs to develop similar market-based mechanisms.

II. CONCLUSION

Talen respectfully urges FERC to preserve the jurisdictional balance under the FPA, to avoid undue discrimination against existing generation, and to reject proposals that favor BYOG or selectively restrict load interconnection. The Commission should instead focus on market-based solutions that incentivize sufficient generation and maintain regulatory certainty to ensure reliability.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document upon each person designated on the official service lists compiled by the Secretary in these proceedings.

Dated at Washington, DC, this 5th day of December 2025.

/s/ Melinda J. Warner
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